Syllabus Edition
First teaching 2025
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Mass Markets & Niche Markets

Exam code: 0450, 0986 & 0264, 0774

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Mass markets

- In **mass markets,** products are aimed at broad **market segments**
  - **Mass marketing** occurs when businesses sell their products to most of the available market
  - Production usually happens on a **large scale**
  - Products are generally **standardised** with **little differentiation**

Examples of mass market brands

Mass market products are aimed at large groups of customers with similar needs

Evaluating mass markets

Advantages	Disadvantages
• Mass production allows the business to benefit from **economies of**	• Products are often **less unique**, as they are designed to appeal to a wide audience

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

products more affordable, leading to **higher sales volumes** • The business can target a **large customer base**, increasing the chance of strong demand • **Mass marketing methods** (e.g. TV, social media) allow efficient promotion to a wide audience	and often force prices down • **Profit margins are lower**, as prices are often kept low to attract mass market buyers

Niche markets

- In **niche markets,** products are aimed at a small subset of the larger market, e.g. gluten-free products
  - **Niche marketing** occurs when businesses identify and satisfy the demands of a **small group of consumers** within the wider market
  - Production usually happens on a **small scale**
  - Products may be **made to order** or produced with **very specific customer needs** in mind

Examples of niche market brands

Niche product include specialist haircare, adapted technology such as phones and gluten-free food

- Some **niche markets become mass markets** as large businesses start to realise the potential for growth
  - For example, energy drinks started out as 'niche products' aimed at fitness enthusiasts, but as prices have fallen and more choices are available, they have become mass-market products

Evaluating niche markets

Advantages	Disadvantages
• Products are **highly specialised and unique**, meeting the specific	• **Higher production costs** due to smaller

develop **expert knowledge** and a **strong reputation** within its chosen market • Customers are often willing to pay **premium prices**, leading to **higher profit margins** • Less direct competition means it's easier to **build customer loyalty** and **brand recognition**	**benefit from economies of scale**, which can make pricing less competitive • **Sales volumes are lower**, as products may be less affordable and appeal to fewer people • The business may become **too dependent on one product or market**, increasing risk

Examiner Tips and Tricks

Avoid vague definitions – show understanding by linking each to **advantages and disadvantages**, e.g. mass markets spread risk but face intense competition, while niche markets face less competition but limited demand

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